relationship between the government and the Reserve Bank. The Reserve Bank is a respected institution and people should not play with it, was all he said. He surprised me again by calling me a few days later to tell me that he had issued instructions that government functionaries should refrain from commenting on the Reserve Bank's policy. The Delhi decibels remained subdued after that, at any rate in the public domain.

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The importance of keeping the policy decision strictly confidential is quite obvious. Any leakage would cause market turmoil, potentially embroil the Reserve Bank in legal action for unduly benefitting some individual or group and inflict serious damage to the bank's credibility. Within the Reserve Bank, there is a firm protocol on confidentiality, and disclosure is entirely on a need-to-know basis. Outside of it, only the prime minister and the finance minister, and on occasion a few top ministry officials, are in the loop. That there never has been a policy leak is a tribute to the diligence and professional integrity of the Reserve Bank staff.

I had one unpleasant surprise though—on the day of the policy review in April 2012, when, after thirteen rate hikes, I cut the rate by 50 basis points. Finance Minister Mukherjee was scheduled to address a business chamber in Delhi an hour before the policy release time. As he was entering the meeting hall, he commented informally to the corporates and the media that surrounded and greeted him—a doorstop interview as it were—that 'the governor will shortly give you good news'. This was most inappropriate and indiscreet. I am positive the finance minister did not intend any mischief; nor did he want to undermine the Reserve Bank. I think he was just being naive, overanxious to be the bearer of good news to the corporates in the midst of widespread criticism of policy paralysis in the government, hoping that some of the credit for this would rub off on him.